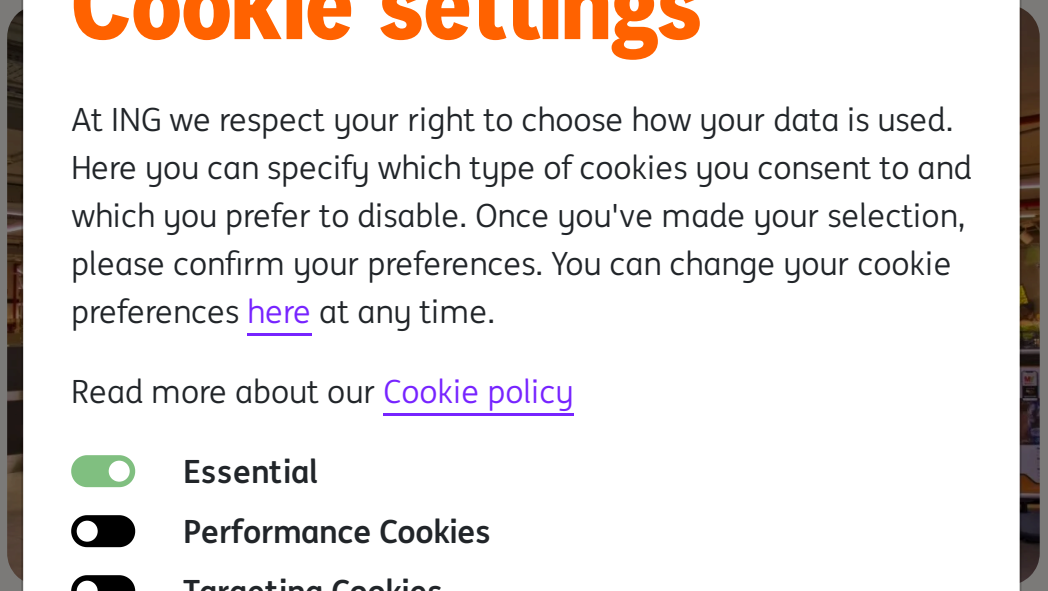
Both industry and retail sales expanded in September. Positive surprises appeared in both sets of data. As Hungary's growth is expected to be supported by internal factors, the external influence remains the only question mark in the recovery story




P



Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Confirm selection

Accept all

T

September data on retail sales and industrial production. As we move closer to the end of the year, it is becoming increasingly clear that both sectors are set to contribute positively to economic growth, in line with our expectations. Industrial production maintained its recent growth momentum, reaching a level not seen in two and a half years. Retail sales also rebounded after August's negative surprise, despite elevated fuel prices. Strong consumer confidence and rising real disposable incomes are expected to keep consumption on an upward trend in the coming months.

New capacities are pulling up Hungarian industrial production

8.2% Industrial production (YoY, wda)

ING estimate: 5.7% / Previous: 8.8%

Hungarian industrial performance delivered a significant positive s
n
p
n
w
p
s
b
a
ir
t
n

e

Cookie settings

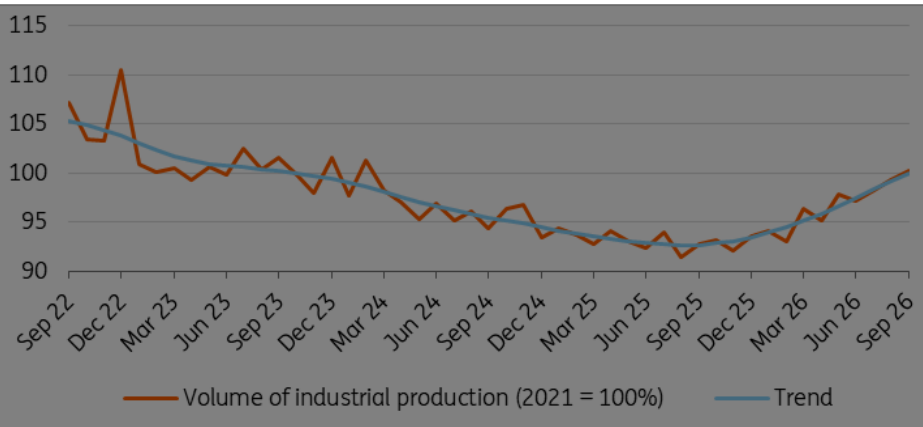
At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies



Source: HCSO, ING

As this is a preliminary data release, HCSO has not yet disclosed many details. Based on its brief commentary, the now-familiar pattern of concentrated growth remains in place. With new automotive production capacities coming online, vehicle manufacturing performed exceptionally well, as did the manufacture of computers, electronic and optical products, supported by rising electronics orders linked to the AI boom. It is also a positive development that electrical equipment manufacturing, which carries significant weight, has joined the group of positive contributors. By contrast, the HCSO recorded a decline in the manufacture of food products, beverages and

Cookie settings

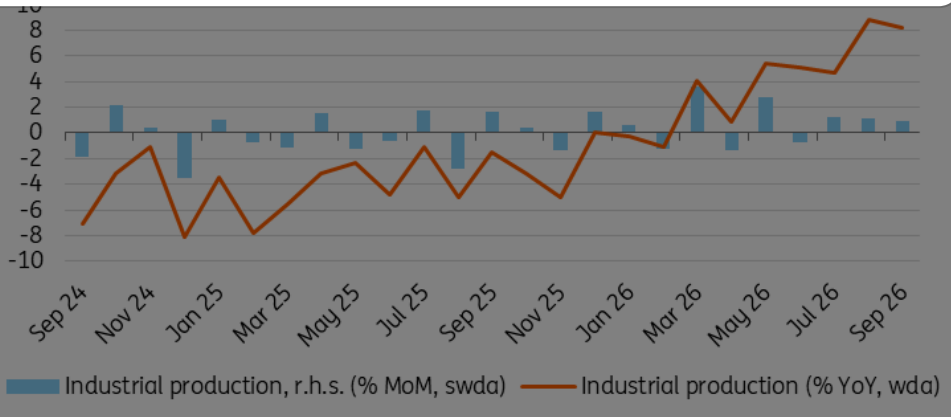
At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies



Source: HCSO, ING

Turning to the risks: On the upside, the better-than-expected resilience of the European economy, particularly the recovery in German industry, could translate into stronger external demand than currently anticipated. On the downside, oil prices around $100 per barrel, elevated gas prices and supply-chain disruptions stemming from geopolitical flare-ups in the Strait of Hormuz and the Red Sea remain key risks.

In the first nine months of the year, industrial output has already increased by 4.0%, suggesting that ING Bank's full-year forecast of around 3-4% may need an upward revision. The positive surprise could also lay the foundations for stable growth in the coming y
q
fr

H
a

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

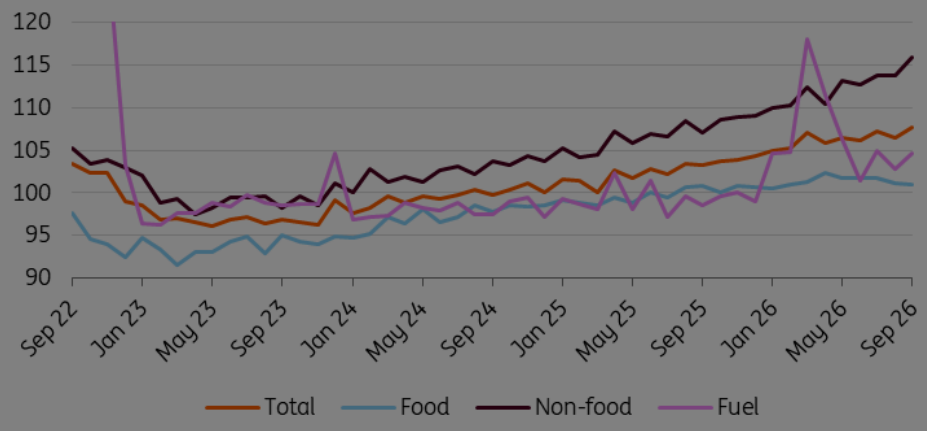
Essential

Performance Cookies

Targeting Cookies

A
n d
with the previous month, pushing the calendar-adjusted year-on-year growth rate sharply higher to 4.3%. Some correction had been expected following the weak performance of the previous month, but its magnitude surpassed even the most optimistic expectations.

Retail sales volume in detail (2021 = 100%)



Source: HCSO, ING

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

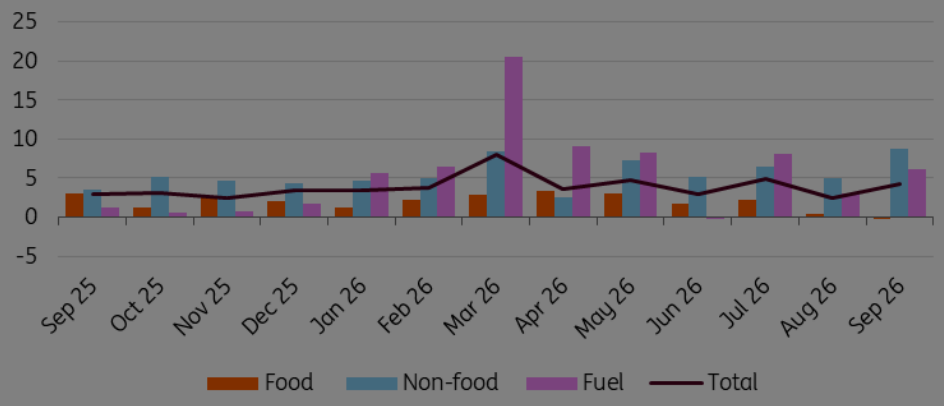
Essential

Performance Cookies

Targeting Cookies

month. While in-store sales posted meaningful growth across almost every segment, mail-order and online retail performed more modestly this time. For now, it is difficult to identify a clear fundamental explanation for the broad-based strengthening in September. It may therefore partly reflect a correction following August's weakness, potentially combined with some purchases that had been postponed during the unusually hot summer months.

Breakdown of retail sales (% YoY, wda)



Source: HCSO, ING

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Retail sales | Manufacturing | Industry | Hungary | Consumption

Content Disclaimer

This publication has been prepared by ING solely for information purposes irrespective of a particular user's means, financial situation or investment objectives. The information does not constitute investment recommendation, and nor is it investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument.

Read more

Share Download

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies